

going to be used in several places. Every time we add another salesperson we will have to look up the cell reference in order to enter the formula to calculate commissions. Why not name the cell 'Rate' and reference it in plain English rather than as B3?

Begin by highlighting the cell with the rate in it. On the Menu bar, choose **Insert > Name > Define**.

The 'Define Name' dialog box will open. Type the name that will refer to cell \$B\$3 into the 'Names' in the 'Workbook' box. A range name—the name you give to a cell or to a range of cells—must begin with a letter.



Click **Insert>Name>Define** to name a cell

There are four other rules that apply to range names:

1. They can be 1 to 255 characters long (it is better to keep them short).
2. They must not be of the same form as a cell reference ('A1' is not a valid name, 'Ram' is).
3. Single letter names can be any letter of the alphabet except 'R' or 'C'.
4. Any other character can be used except for the hyphen or the special characters \$, %, &, and #. You can use the underscore or a period to separate parts of a name.

In the example, we named the cell 'Rate'. From this point on, you will be able to type in 'Rate' instead of \$B\$3, and Excel will understand that you mean the contents of this cell.

The commission rate is also an example of a constant—a value that does not change and is used in formulas in the workbook. You